

Question:

A distributor agrees to sell 100 tubes of growth hormone to a medical treatment center in exchange for \$30,000. The contract has many clauses, including one that prohibits generally the assignment of the contract or any of its terms. The distributor assigns its right to receive the funds anyway. Will a court enforce the bar against assignment under these circumstances?

Answer Choices:

A. No, a bar of assignment does not apply to the right to receive the funds unless specifically stated.

B. Yes, unless the contract explicitly states that the bar of assignment does not apply to the right to receive funds.

C. No, a bar of assignment can only be enforced if it is notarized and legally binding.

D. Yes, a bar against the right to receive proceeds is a favored restriction unless otherwise stated.

E. Yes, a contractual provision prohibiting assignments is enforceable in all respects.

F. Yes, a bar of assignment applies to all aspects of the contract, including the right to receive funds.

G. No, a bar of assignment is an unconstitutional deprivation of due process.

H. No, a bar of assignment is unenforceable if it inhibits the completion of the contract.

I. No, a court will not enforce the bar against assignment as it infringes upon the distributor's right to do business.

J. Yes, a contractual provision prohibiting assignments is enforceable unless it contradicts federal law.

Reasoning + Answer:

</tool_call> reasoning process here

A bar against assignment in a contract typically restricts the transfer of rights under the contract . However , in common law , courts often interpret such provisions as not being enforceable against rights to payment or proceeds , especially if the assignment is of the right to receive money . The right to receive payment is considered a " right to performance " or a " right to receive money ," which is generally not subject to a general assignment restriction unless explicitly stated . This is because the right to receive funds is a separate , independent interest that is not typically assignable . Therefore , even if the contract prohibits assignment of the contract or its terms , the distributor's right to receive payment is generally not barred by such a clause unless the restriction specifically and unambiguously covers the right to receive funds . This principle is rooted in the idea that the right to receive money is a fundamental interest that cannot be unreasonably restricted without violating the contract's purpose or public policy .

Thus , the bar against assignment would not apply to the right to receive the \$ 30 , 000 . The correct answer reflects that the right to receive funds is not subject to the general assignment restriction unless explicitly stated .

< answer >A </ answer >